

Grupo Bimbo

Leadership with
the vision for growth

ANNUAL REPORT

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Group

PROFILE

Grupo Bimbo was founded in Mexico City in 1945. Today, it is one of the leading bakery companies in the world, in terms of its production volume, sales, and brand recognition.

Through its main subsidiaries, Grupo Bimbo makes, distributes and sells more than 750 products, including a wide variety of packaged bread, home-style cakes, cookies, candies, chocolates, sweet and salty snacks, packaged corn and wheat tortillas, tostadas (crispy flat tortillas), cajeta (goat milk caramel), pasta and processed food. In addition, it produces bakery related machinery and plastic articles.

The Group has close to 90 prestigious brands such as Bimbo, Marinela, Tía Rosa, Milpa Real, Mrs. Baird's, Barcel, Ricolino, Coronado, Suandy and Lara, to name but a few.

With its commitment for being a highly productive, innovative, competitive, focused on the total satisfaction of its customers and consumers and, above all, human company, Grupo Bimbo is present in Mexico, the United States, Argentina, Colombia, Costa Rica, Chile, El Salvador, Guatemala, Honduras, Nicaragua, Peru, Uruguay, Venezuela, Austria, Germany and the Czech Republic.

The Group has 70 plants and six sales and distribution companies, grouped into six divisions:

- Organización Bimbo
- Organización Marinela
- Organización Ricolino
- Organización Barcel
- Organización Latinoamérica
- Bimbo USA

In 1999, the consolidated net sales of Grupo Bimbo totaled Ps $28.79 billion, 5.6% more than the year before. This advance was fueled by an 18% growth in international operations.

Grupo Bimbo is a publicly-traded firm, listed on the Mexican Stock Exchange since 1980.

The Group has the most extensive distribution network in Mexico and one of the largest in the Americas, with more than 20,000 routes and a fleet of 27,000 vehicles that guarantee that its products arrive fresh and on time to 550,000 points of sale in 16 countries. Grupo Bimbo's delivery units run daily the equivalent to circling the globe 27 times.

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Grupo Bimbo

Grupo Bimbo has invested heavily in setting up productive plants, forming strategic alliances and joint ventures, acquiring companies in its sector that allow it to further consolidate its operations. Among its recent acquisitions have been Lara and Coronado in Mexico; Mrs. Baird's, Four-S Baking and Pacific Pride in the United States, and Park Lane in Germany. Some of its strategic partners are Alicorp (Peru), Noel (Colombia), Day Hoff (U.S.) and Pastas Cora (Mexico).

This Mexican multinational corporation employs more than 64,000 workers.

Committed as well to society, Grupo Bimbo is involved in a number of important community projects, such as the reforestation of Mexico's wildlife preserves and in other social welfare endeavors.

Bimbo has recently earned ISO 9000/1/2 quality standard certifications for various productive processes in five plants, and another 13 are in the process of obtaining certification, which attests to the international standard of its product quality.

In 1999, Bimbo invested more than US$180 million in expansions, acquisitions and improvements.

ORGANIZACIÓN BIMBO

Brands: Bimbo, Wonder, Tía Rosa, Milpa Real, Del Hogar, Sunbeam, Lonchibón; *Sara Lee (distribution).*

Plants (22): Mexico City, Guanajuato, Chihuahua, Veracruz, Nuevo León, Sonora, Baja California, Baja California Sur, Jalisco, Sinaloa, Puebla, San Luis Potosí, Tabasco, Edo. de México, Yucatán, Hidalgo.

ORGANIZACIÓN MARINELA

Brands: Marinela, Lara, Suandy, Wonder.

Plants (8): Mexico City, Nuevo León, Baja California, Jalisco, Tabasco.

ORGANIZACIÓN RICOLINO

Brands: Ricolino, Candy Max, Mr. Maní, Park Lane, Juicee Gummies, Czapp, Chick's, Coronado; *Wrigley's (distribution).*

Plants (6): Mexico City, Puebla, San Luis Potosí, Austria, Czech Republic.

Sales and Distribution Companies (2): United States, Germany.

BIMBO USA

Brands: Mrs. Baird's, Bimbo, Tía Rosa, Marinela, Barcel, Ricolino, Weber's, C&C, La Tapatía, La Hacienda, Bohemian Hearth.

Plants (17): California, Texas, Ohio.

ORGANIZACIÓN BARCEL

Brands: Barcel, Chip's, Pastas Cora, Rex, Golden Nuts, Pastilara; *Mars and M&M's (distribution).*

Plants (5): Edo. de México, Coahuila y Baja California.

ORGANIZACIÓN LATINOAMÉRICA

Brands: Bimbo, Marinela, Ideal, Holsum, Cena, Trigoro, Tulipán, Duorno.

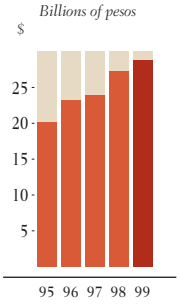
Plants (10): Guatemala, El Salvador, Costa Rica, Venezuela, Chile, Argentina, Perú, Colombia.

Sales and Distribution Companies (3): Honduras, Nicaragua, Uruguay.

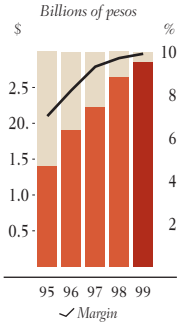
financial AND OPERATIONAL HIGHLIGHTS

In 1999, Grupo Bimbo reached its highest margin levels in six years: gross margin was 54.8%, operating margin 9.9% and net margin 6.8%. Likewise, majority net income increased 47% over 1998 and its strong cash-flow generation, combined with a capital increase in last May, strengthened even more the company's solid financial structure by reducing its leverage from 33.9% in 1998 to 13.6% in 1999.

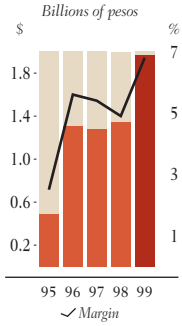
Net Sales



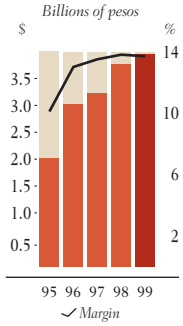
Operating Income



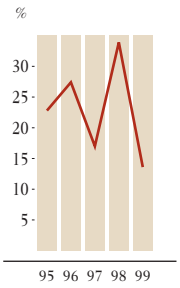
Majority Net Income



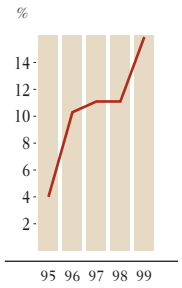
Operating Income Plus Depreciation and Amortization (EBITDA)



Net Debt / Consolidated Stockholders' Equity



Majority Net Income / Majority Stockholders' Equity at the Begining of Each Year



Grupo Bimbo, S.A. de C.V. and Subsidiaries
Millions of constant Mexican pesos as of December 31, 1999

	1999	(%)	1998	(%)	(%)
Net Sales	28,788	100.0	27,262	100.0	5.6
Gross profit	15,788	54.8	14,475	53.1	9.1
Operating income	2,849	9.9	2,641	9.7	7.9
Integral financing result	337	1.2	- 293	- 1.1	n.a.
Income from sale of subsidiaries	133	0.5	0	0.0	n.a.
Net income applicable to majority stockholders	1,970	6.8	1,340	4.9	47.0
Operating income plus depreciation and amortization (EBITDA)	3,947	13.7	3,759	13.8	5.0
Total assets	22,855		21,291		7.3
Total liabilities	7,610		8,361		- 8.9
Bank loans and long-term debt	4,426		5,158		9.7
Total stockholder's equity	15,245		12,930		17.9
Net debt / EBITDA	52.6%		116.5%		
Net debt / Total stockholder's equity	13.6%		33.9%		
Majority net income / Majority stockholder's equity at the beginning of the year	15.9%		11.1%		
Earnings per share	1.40		0.99		42.3
Weighted average outstanding shares (millions)	1,401.5		1,356.5		3.3

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MESSAGE FROM THE
CHAIRMAN OF THE BOARD

We look to the near future with tremendous optimism, based on prospects of
STABILITY AND GROWTH

To our shareholders:

I am pleased to report that Grupo Bimbo closed out the millennium with highly satisfactory results. Net sales for the Group as a whole totaled Ps28.79 billion, a growth of 5.6% in real terms, while earnings totaled Ps1.97 billion, 47.0% higher than the year before. Some of our success was due to propitious conditions in the Mexican economy, including a revaluation of the exchange rate, a lower rate of inflation and a recovery in consumer purchasing power.

These results are even more significant when we consider that our operations in Central and South America are still suffering the effects of economic instability prevailing throughout that region last year. Our sales from this part of the world totaled approximately US$237 million, and the combined result was an operating loss of Ps15.6 million. Operating losses in that region, which normally account for around 8% of the Group's sales, were cut by more than 51% in proportion to overall sales, from 13.6% in 1998 to 6.6% in 1999 –particularly significant considering how difficult the year was for the region in political, socioeconomic and climatic terms.

Our revenues from the United States operations came to about US$568 million, with operating income closing the year at US$4.4 million. Operations in that country account for around 19% of total Group sales.

Park Lane, the small commercial operation of our affiliate Ricolino in Boizemburg, Germany, was reinforced last year with the acquisition of two candy plants: a chocolate factory in Vienna, Austria, and a gummy candy factory in Ostrava, Czech Republic. Both of these will open in April of this year.

We are pleased to report that the Ricolino division turned in very satisfactory results last year, and continues to gain strength at an impressive rate.

Operations at Barcel, though still running at a loss, are also improving.

The agro-industrial and machinery companies are operating with weak results and still posting losses. This is in part because the milling companies have been affected by a disproportionate drop in wheat prices.

Although slowing in intensity from recent years, efforts to upgrade machinery and equipment continued, and a number of expansions, acquisitions and new facilities were opened. Among the most notable of these are:

- A large and modern Bimbo factory in Tijuana, Baja California Norte.
- The installation of a new wheat mill in Guadalajara, Jalisco.
- The remodeling of a tortilla and tostada plant (Kodys) in Monterrey, Nuevo León.
- An alliance with Grupo Mac'Ma, which strengthens our business of manufacturing and distributing pastas in Mexico.
- The association with Day-Hoff Incorporated to sell our candy products throughout most of the United States.
- The acquisition of rights to the Tulipán brand in Costa Rica.
- The acquisition of a small bread factory in Cali, Colombia.
- The acquisition of the assets necessary to exclusively produce rolls for McDonald's in Colombia, Venezuela and Peru.
- The acquisition of the Four-S bread factory in Los Angeles, California.
- The installation of a new lime-treated corn flour mill in Amarillo, Texas.
- The relocation of the Tía Rosa tortilla factory in Sacramento, California.
- The acquisition of two candy plants in Central Europe.

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Other investments include new technology and information systems, new distribution and transportation vehicles, and many other minor projects. Together, the capital expenditures for last year totaled about US$180 million.

There were two other events last year I would like to highlight:

The purchase of the two new candy plants by Ricolino in Europe are not only another link in the chain of this division's factories, but represent a return to that continent for the Group's manufacturing plants –a key part of this company. We are confident that these acquisitions are just the beginning of an increase in activity for this important region.

The other important event was the decision to focus our efforts and resources more on our core activities, and less on the integration business. With this goal in mind, the Group sold its six flour mills and two fruit and vegetable processors, which had been part of Organización Altex, to a new company.

This new company is headed by Roberto Servitje Achútegui, who has been serving as Vice Chairman of the Group until this point. We are confident that this division will be highly beneficial for both companies, since it has fresh resources and the autonomy necessary to carry out its expansion plans.

Considering that these results were achieved in a climate of relative volatility, we look to the near future with tremendous optimism. I have no doubt that the changes we have been seeing in Mexico and elsewhere in Latin America will produce results of stability and growth, perhaps even better than those of the rest of the world as a whole. In addition, the recent consolidation of the Group has not only freed up a substantial amount of cash that can be invested in new operations, but also allows us to focus more on our own lines of operation, without diluting economic and management resources.

Grupo Bimbo maintains advanced technology in every field of production: white bread, rolls, pastries, cakes, corn and flour tortillas, candy and snacks. Adding this to its level of capacity and the commitment of its more than 64,000 employees, it is clear that the Group has all the elements necessary to continue its worldwide growth, stressing its leadership in this fields on both the domestic and international front.

As has become customary in the last four months of the year, late in 1999 we concluded the review of collective bargaining contracts for all the Group's companies. Once again, we want to congratulate all that participated in this important event for their maturity and responsibility, which helped us to carry out the entire process in a climate of fairness and harmony.

I am very proud to announce to our friends and shareholders that our ambitious training plans have become even more successful than we anticipated. Thanks to new satellite technology, we have succeeded in enrolling a great number of our staff in career-related educational programs. In our open education system, we continue to support elementary, junior and high school programs. We have also offered the facilities for all our workers to take courses in English, and encouraged key personnel to enter and complete Masters' Degree programs.

To conclude, I believe our optimism is justified due both to our encouraging prospects around the world and to the Group's focus on consolidating new operations and continuing its expansion plans.

Roberto Servitje S.
Chairman of the Board of Directors

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Roberto Servitje S. *(left)*
Chairman of the Board of Directors

Daniel Servitje M. *(right)*
Chief Executive Officer

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MESSAGE FROM THE
CHIEF EXECUTIVE OFFICER

To our shareholders,

This year, Grupo Bimbo will celebrate 55 years of presence in every Mexican home. I am pleased to share with you some ideas on what you can expect from our company in the short term.

The coming years will be decisive for consolidating and increasing our presence in the markets where we currently operate. We will continue to develop our bakery, snacks, and candy lines and products, focusing, as always, on the potential of our brands and on our ability to distribute directly, with the professionalism and drive that has distinguished this company from its earliest years.

We will conclude some projects begun in 1999, including investments, automation and efforts to boost productivity. In Mexico, the expansion of several bakery lines is an important part of this project.

To optimize the information generated during the course of our operations, we launched Bimbo XXI, an ambitious computer project that will allow us to migrate to an integrated system that supports processes throughout the entire business.

Through Bimbo XXI, the company can successfully face an increasingly competitive and sophisticated commercial and technological climate. This project, which will take a little over two years, will also establish the foundations for Grupo Bimbo's definitive incursion into the Internet, which will in turn allow us to take advantage of e-commerce with our clients and suppliers.

To bolster the Group's growth strategy, we will continue to work on two main lines, innovating with products that satisfy our customers in terms of taste, price and nutritional content. We will also remain willing and ready to explore possibilities for development, whether through new plants or lines, or through acquisitions and alliances that we find in the market in our own sphere of action.

We are prepared to be a stronger and more flexible company, in terms of both SUPPLY *and* RESPONSE *capacity*

I would especially like to mention the optimism we have in the socio-economic climate of all the countries in which we are present. The year 2000 looks to be a good one in terms of the outlook for the markets and for macroeconomic indicators.

We are prepared to be a stronger, more flexible company in both our supply and response capacity. We are aware that the markets are increasingly competitive, and our clients and consumers are becoming more demanding. We have therefore invested continually in areas that will optimize our quality, make costs more efficient, and train and support the educational and professional development of all our personnel.

The growth and internationalization of this Group will not stand in the way of its traditional values and social responsibility. This is the commitment we will express in every one of our actions in the year and in the millennium ahead.

Daniel Servitje M.
Chief Executive Officer

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Leadership

LEADERSHIP



State-of-the-art technology in production processes.

Our Commitment:
Offering the highest-quality and
FRESHEST PRODUCTS

Market

This year marks Grupo BIMBO's 55th year of operation, and it is a source of great satisfaction to us that we are among the largest bakery companies in the world.

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Since 1984, we have built up an international presence through exports of our products and by acquiring and opening new plants. At present, our search for new markets has brought investment in 16 countries, located in Europe, North, Central and South America. In a number of these –like Mexico, Costa Rica, Venezuela, Peru and Chile– we dominate more than half of the total market.

Product range

Today, all around the world, Grupo Bimbo offers the public 90 brands and more than 750 bakery products like white bread, pound cake, rolls, pastries, cupcakes, cookies, candies, snacks, tortillas, tostadas, prepared foods and cajetas.

In Mexico, this range of products has made us the leader in the manufacture of food products, with more than 920,000 metric tons produced in 1999.

Customer satisfaction

At Grupo Bimbo, we are committed to offering products with the highest standards of quality and freshness. Our products arrive at the tables of thousands of families every day, thanks to the largest distribution network in the continent: 27,000 vehicles that travel to 550,000 points of sale, running a combined distance equivalent to 27 times round the equator every day.



Our commitment to family health and nutrition.

Our personnel

The pillar of all Grupo Bimbo's business units is its more than 64,000 employees, which strive daily to uphold the company's reputation for quality and efficiency, making and distributing products for all tastes, customs and lifestyles in every region.

Ideals

Among our greatest strengths at Grupo Bimbo are our solid principles, which allow us to move toward a common goal and a single objective. These principles are renewed every day in our mission:

To make, distribute and sell food products, developing the value of our brands and pursuing our central commitment of being a company that is:

- Highly productive and fully human.
- Innovative, competitive, and totally focused on satisfying our clients and consumers.
- An international leader in the bakery business.

Every day, our trucks travel the equivalent of 27 times round the equator.



Vision

VISION

Our achievements have given us

INTERNATIONAL STATURE



Modern equipment to serve our clients and consumers.

Getting ahead of the future

Grupo Bimbo's vision has guided its most important achievements for 55 years. It was a key inspiration when our founders began to make and sell delicious, fresh and nutritious white bread; or when they founded Pasteles y Bizcochos, S.A. (PABISA), today Marinela, in 1956; or when we diversified and entered markets and production segments outside of the bakery industry, giving us the stature of an international Group.

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Commitment to the community

Grupo Bimbo's social commitment is an integral part of its daily business activities and its origins. At present, we support numerous philanthropic, environmental, cultural and recreational projects.

Concern for the environment

Grupo Bimbo is undoubtedly one of the most widely-admired Mexican companies for its environmental protection policies. In this country, we were pioneers in the use of distribution vehicles fueled by natural gas, and we have electrically-powered vans that make deliveries in cities with a high population concentration.

In addition, the company underscored its commitment to the environment in Mexico by adopting eight wildlife conservation areas. Under this program, the environmental balance has been restored to these zones, three greenhouses and a ranger surveillance center were built, more than 100,000 plants and trees were planted and numerous animal species (among them turtles, crocodiles, toucans and jaguars) were returned to their natural habitat.



Gummy candy plant in Ostrava, Czech Republic.



Continuous production lines.

A publicly-owned company

In 1999, the stocks of Grupo Bimbo (ticker symbol on the Mexican Stock Exchange: BIMBO A), first issued in 1980, were included in the sample used to calculate the Price and Quotations Index of the stock market. Its performance throughout the year made it the most marketable stock in the food sector.

Certifications

Our commitment to the highest quality standards dates back 15 years. In 1999, we decided to give a boost to this effort, starting up a program to obtain ISO 9000/1/2 quality certifications. This year, we obtained five certifications for our bakery plants in Chihuahua, Monterrey, and Mexico City, as well as in Maquindal, our industrial machinery plant, and Ricolino Mexico, our candy factory.

Awards

The vision characteristic of Grupo Bimbo has been recognized by two of the most widely-distributed trade journals in the world's food industry: In 1999, *Industria Alimenticia and Milling & Baking* awarded Bimbo the *"Processor of the Year in the Latin American Banking Sector"* and *"Wholesale Retailer of the Year"* awards, respectively.

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Growth

GROWTH



Modern facilities at Industrial del Maíz in Atitalaquia, Hidalgo.

At Grupo BIMBO, we strive to be an

EFFICIENT, EFFECTIVE, PRODUCTIVE

and quality company

At Grupo BIMBO, we strive to be an efficient, effective, productive and quality company.

Over the last five years, our sales have advanced 10.2%, with operating income rising 9.8%, net income 32.7%, and assets 6.6% in the same period.

Since we began operating on December 2, 1945, our growth has been sustained by the quality of our products, the loyalty of our clients and the efforts of our personnel. All of these have guided our expansion and consolidation in various markets.

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Human development

Our company is its people, and only by ensuring that its people grow can Grupo BIMBO grow. We want to be a company in which all workers' dignity is respected; where they feel encouraged to grow and develop; where they can contribute, improve and innovate in a climate of respect, trust, friendship and freedom.

Productive chains

As they develop, Bimbo's companies are concerned with the performance of their clients and suppliers. For this reason, the Group has obtained a minority stake in a number of companies related to its primary inputs: eggs, sugar, packaging, etc. In addition, also with an eye toward growth, this past year we decided to collaborate in an effort with the government, through Mexico's development bank, Nacional Financiera, and the Ministry of Trade and Industrial Development.

Under this program, some of our leading suppliers have received support in the form of financing and more than one hundred training, consulting, and technical assistance programs. This support has helped them to increase their competitiveness and allowed small and medium-sized businesses to join us in progress.

Alliances

In an effort to bolster our primary commercial alliances, in July 1999 the Group signed an agreement under which it became the exclusive supplier of buns and rolls to the almost 200 branches of the McDonald's chain in Colombia, Venezuela and Peru.

The same agreement was signed for Mexico in 1985, and by 1999, Bimbo was producing almost 40 million buns for McDonald's.

Research and innovation

Any growing corporation must look after the potential of its brands and consumers. For this reason, one of Grupo BIMBO'S primary goals is to grow and attain a dominant share of the markets in which we participate, by developing the value of our brands. The company has thus made an unrelenting effort to continue its research and innovation, always seeking out new products to satisfy a constantly changing, demanding and diverse group of customers.



There is a vast and diverse array of Grupo BIMBO products which, less than a year after launch, have become leaders in their segment or made significant inroads into their markets. Lines like Marinela in Peru, Ricolino's Cinema Gum, Tía Rosa tortillas in the United States, or Bimbo sandwich rolls, Suandy chocolate cake, Coronado's "Reina María" pastry, Mrs. Baird's Pan de Papa, Marinela's Bombonetes, Barcel's Takis, Lonchibón's croissant sandwich, Ricolino's Mickey Surprise, and Pipiolo in Colombia, all attest to our commitment to market analysis, research and innovation, and our intense focus on our clients and consumers.

Sharpening our focus

Guided by this principle of vision and leadership, in late 1999 we made a decision to sell off our wheat mills and vegetable processing plants for a total of US$134.5 million. This will allow these businesses to develop their own growth dynamic, and will also allow us to focus on our core investments and businesses, to take on the new challenges of growth for the Group.

Diversification and internationalization

Aware of the need to increase our portfolio of products, we acquired some assets and the rights to the Costa Rican brand Tulipán. The purchase gives the Group a leading position in this strategic region, where it closed the year with a market share of 52.1%.

The strategic alliance with Mac'Ma, under which Grupo BIMBO purchases Cora and Rex pastas, are another sign of these efforts, which gained us a market share of 7.2%, with sales volume of more than 225,000 metric tons a year.

The startup of production by the Group in Europe (where previously we only sold our products), through Ricolino's purchase of two new plants, one in Austria and one in the Czech Republic, clearly set the course for Grupo BIMBO's future development strategies…

… Leadership with the vision for growth.

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EXECUTIVE COMMITTEE



Roberto Servitje Sendra *(left)*
Chairman of the Board of Directors

Daniel Servitje Montull *(right)*
Chief Executive Officer



Second row

Mauricio Jorba Servitje
Vice Chairman

Rafael Vélez Valadez
Corporate General Director

Guillermo Quiroz Abed
Chief Financial Officer

Juan Bernardino Díaz Caro
President, Organización Marinela

Lorenzo Sendra Mata
President, Organización Bimbo

Enrique Chávez García
President, Organización Ricolino

Third row

Miguel Ángel Espinoza Ramírez
Vice President, Organización Barcel

Pablo Elizondo Huerta
President, Organización Latinoamérica

Juan Muldoon Barrena
President, Bimbo Bakeries USA

Gabino Gómez Carbajal
Vice President, Organización Bimbo

Javier González Franco
Vice President, Organización Latinoamérica

Rosalío Rodríguez Rosas
Corporate Director of Manufacturing

Steve Hileman
Vice President, Bimbo Bakeries USA

Dick Bay
Vice President, Bimbo Bakeries USA

Joe Dangelmaier
Vice President, Bimbo Bakeries USA

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management's discussion and analysis of operations and financial condition

This discussion should be read in conjunction with the Consolidated Financial Statements and Notes to the Consolidated Financial Statements included in this annual report.

The Consolidated Financial Statements and Notes to the Consolidated Financial Statements were prepared according to Generally Accepted Accounting Principles in Mexico.

The financial information herein is expressed in millions of constant Mexican pesos as of December 31, 1999 unless otherwise specified.

A) Operations

Key financial comparisons from operations are summarized in the following table.

	1999	(%)	1998	(%)	Change (%)
Net Sales	28,788	100.0	27,262	100.0	5.6
Cost of sales	13,000	45.2	12,787	46.9	1.7
Gross profit	15,788	54.8	14,475	53.1	9.1
Operating expenses	12,939	44.9	11,834	43.4	9.3
Operating income	2,849	9.9	2,641	9.7	7.9
Integral financing result	337	1.2	- 293	- 1.1	n.a.
Other income (expenses), net	- 185	- 0.6	62	0.2	n.a.
Income from sale of subsidiaries	133	0.5	0	0.0	n.a.
Net income applicable to minority stockholders	51	0.2	26	0.1	93.3
Net income applicable to majority stockholders	1,970	6.8	1,340	4.9	47.0
Operating income plus depreciation and amortization (EBITDA)	3,947	13.7	3,759	13.8	5.0
Cash and marketable securities	2,351	10.3	779	3.7	201.6
Property, plant and equipment, net	12,708	55.6	13,524	63.5	- 6.0
Total assets	22,855	100.0	21,291	100.0	7.3
Bank loans and current portion of long-term debt	673	8.8	614	7.3	9.7
Long-term debt	3,753	49.3	4,545	54.4	- 17.4
Total liabilities	7,610	100.0	8,361	100.0	- 8.9
Total stockholder's equity	15,245		12,930		17.9
Net debt / EBITDA	52.6%		116.5%		
Net debt / Total stockholder's equity	13.6%		33.9%		
Majority net income / Majority stockholder's equity at the beginning of the year	15.9%		11.1%		
Earnings per share	1.40		0.99		42.3
Weighted average outstanding shares (millions)	1,401.5		1,356.5		3.3

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1999 Consolidated Results

Net sales
Net sales grew 5.6% over 1998, reaching Ps 28,788 million. This increase was led by a marginal 1.7% growth in domestic operations and 18% growth in international operations due to the incorporation of Mrs. Baird's (May 1998) and Four-S (March 1999) in U.S. and Bimbo del Peru (October 1998) in Latin America.

Domestic sales accounted for 73.4% of total revenues in 1999, while international sales accounted for 26.6%.

International operations grew despite of the Mexican peso's real terms appreciation against the U.S. dollar, which had an estimated negative 14% impact in international revenues and also despite of unfavorable economic variable behavior in some of Central and South American countries where Grupo Bimbo operates.

Cost of sales
Cost of sales was Ps 13,000 million, up 1.7% over 1998. However, when expressed as a percentage of net sales, it dropped from 46.9% in 1998 to 45.2% in 1999, due to increased operating efficiency, the fall of wheat prices and the Mexican peso's appreciation against the U.S. dollar, which lowered the cost of raw materials pegged to international prices.

Operating expenses
Operating expenses amounted to Ps 12,939 million, an increase of 9.3% compared to 1998. Expressed as a percentage of net sales, they rose 1.5 percentage points from 43.4% in 1998 to 44.9% in 1999.

The increase is primarily attributable to i) higher advertising and promotional spending in new products and to bolster Grupo Bimbo's image; ii) increased distribution expenses; iii) one-time nonrecurring expenses related to the consolidation of U.S. operations and iv) increased wages and salaries for sales and administrative staff.

Operating income
Operating income for 1999 was Ps 2,849 million, 7.9% over 1998 and operating margin widened to 9.9% from 9.7% in 1998. These increases were primarily the result of cost of sales improvement.

Integral financing result
In 1999, the company reported positive financial results among other reasons because of foreign-exchange gains on the peso's appreciation vs. the U.S. dollar; a reduction in net interest paid (interest expense less interest income) as a reflect of lower average outstanding debt balance during the year and, finally, a gain from its monetary position.

These events led the company to turn around a Ps 293 million cost in 1998 to a Ps 337 million income in 1999.

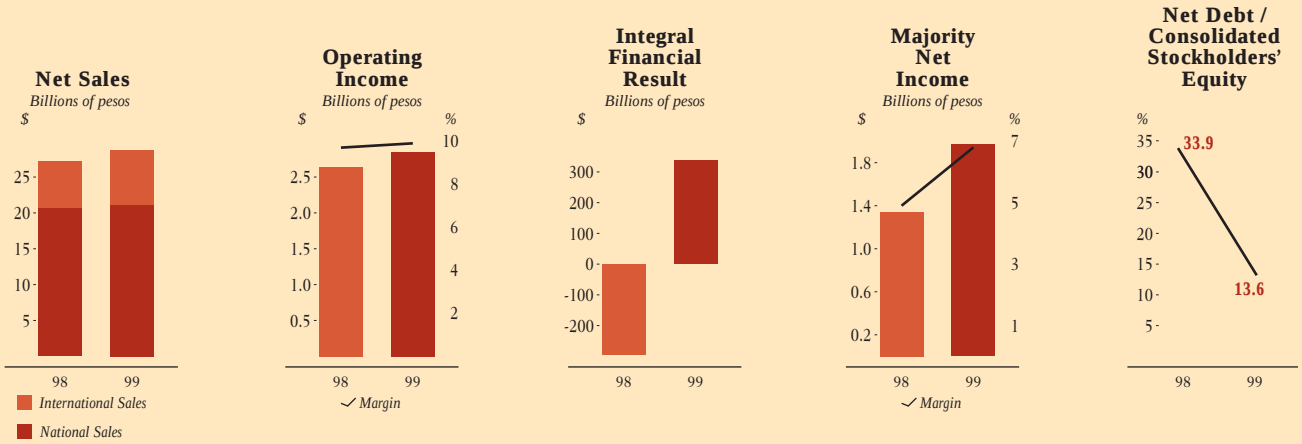
Income from sale of subsidiaries
In December of 1999, Grupo Bimbo completed the sale of its six wheat mills and its processed fruit and vegetable business. This transaction brought in revenues of US$ 134.5 million, from which US$ 106 million corresponded to the selling price and the rest were applied to liabilities payment.

This divesture accomplished Grupo Bimbo's strategic decision to focus on its consumer-oriented businesses, giving the agro-industrial businesses the opportunity to achieve their own growth dynamic. Businesses sold will continue to supply a substantial portion of wheat flour and jams used by Grupo Bimbo in its production.

Due to this transaction, the company got an extraordinary Ps 133 million income.

Net income applicable to majority stockholders
As result of stated, 1999 net income applicable to majority stockholders was Ps 1,970 million, Ps 630 million or 47% higher than 1998, and net margin increased to 6.8% from 4.9% in the same period.

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B) Financial Structure

On May 13, 1999, Grupo Bimbo issued 54,200,000 shares through a public stock offering, which brought in Ps 1,073.2 million. After the offering, capital stock was represented by 1,421,600,000 series "A" shares, ordinary, nominative, without par.

This capital increase, combined with a strong cash-flow generation, strengthened the company's financial structure, reducing its leverage from 33.9% in 1998 to 13.6% in 1999.

C) Recent Events

In 1999, Grupo Bimbo completed several acquisitions and strategic alliances:

In the United States it acquired Four-S Bakeries, a California based company that will bolster its participation in that region.

It also formed a 50% joint venture with Day Hoff Incorporated to sell its candy and chocolate products in most of the United States.

In Mexico it reinforced its pasta business by completing a strategic alliance with Grupo Mac'Ma acquiring a 51% stake in two of its companies: Pastas Cora and Pastas Cora de la Laguna.

In Central and South America it acquired the rights on the "Tulipán" brand in Costa Rica, reaffirming its leadership in that territory.

It also signed an agreement with McDonald's to become an exclusive bun supplier for the whole fast-food restaurant chain in Venezuela, Colombia and Peru.

Finally, in November it acquired two plants in Europe, one in Austria and the other in the Czech Republic, the first one will produce chocolates and the second one gummy candies. These facilities complement Park Lane Confectionery Gmbh operations, Grupo Bimbo's subsidiary based in Germany, originally operating as a trading agent for its candy products.

During year 2000, the company will invest nearly US$ 200 million as follows: productive facilities maintenance, production lines' expansion, implementation of a business management system called Enterprise Resource Planning (ERP) and in its e-commerce strategy through Internet.

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Translation of financial statements originally issued in Spanish

examiner's report

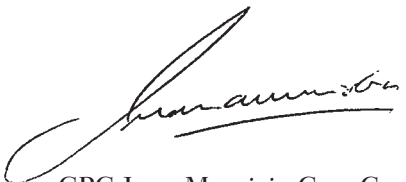
To the Stockholders of
Grupo Bimbo, S.A. de C.V.
(formerly Grupo Industrial Bimbo, S.A. de C.V.)

As stockholder examiner and in compliance with Article 166 of the Mexican Corporate Law and the bylaws of Grupo Bimbo, S.A. de C.V., I submit my opinion regarding the accuracy, sufficiency and fairness of the financial information presented to you by the Board of Directors concerning the Company's operations for the year ended December 31, 1999.

I have attended the meetings of the Stockholders and Board of Directors to which I have been invited, and I have obtained from the directors and management all of the information relative to the operations, documents and records that I deemed necessary. My audit was performed in accordance with the auditing standards generally accepted in Mexico.

I have also audited the balance sheets, individual and consolidated of the Company as of December 31, 1999, and the related statements of income, stockholders' equity and changes in financial position for the year then ended, which are hereby submitted for your information and approval. In submitting this report, I have also relied on the report issued on such financial statements by Ruiz, Urquiza y Cía., S.C. (Arthur Andersen), independent auditors of the Company.

In my opinion, the accounting and reporting policies and criteria followed by the Company and considered by management to prepare and present the financial information are appropriate and sufficient and were applied on a basis consistent with that of the preceding year; therefore, the financial information presented by management accurately, sufficiently and fairly presents the financial position of Grupo Bimbo, S.A. de C.V. as of December 31, 1999, and the results of its operations, the changes in its stockholders' equity and the changes in its financial position for the year then ended, in accordance with the accounting principles generally accepted in Mexico.



CPC Juan Mauricio Gras Gas
SHAREHOLDER EXAMINER

March 24, 2000

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independent auditors' report

To the Stockholders of Grupo Bimbo, S.A. de C.V.
(formerly Grupo Industrial Bimbo, S.A. de C.V.),

We have audited the accompanying balance sheets of Grupo Bimbo, S.A. de C.V and Subsidiaries as of December 31, 1999, 1998 and 1997, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets of 7%, 9% and 14% and total revenues of 10% in 1999, 1998 and 1997, respectively, of the related consolidated totals. Those statements were audited by other auditors whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of the other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico, which require that the audit be planned and performed to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in conformity with accounting principles generally accepted in Mexico. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of other auditors provide a reasonable basis for our opinion.

As explained in Note 3 to the financial statements, beginning in 1998 the Company adopted the new procedures for the translation of the financial statements of its foreign subsidiaries as prescribed by recently issued Bulletin B-15 by the Mexican Institute of Public Accountants.

In our opinion, based on our audits and the reports of other auditors, the financial statements referred to above present fairly, in all material respects, the consolidated financial position of Grupo Bimbo, S.A. de C.V. and Subsidiaries as of December 31, 1999, 1998 and 1997, and consolidated results of their operations, the changes in their stockholders' equity and the changes in their financial position for the years then ended, in conformity with accounting principles generally accepted in Mexico.

RUIZ, URQUIZA Y CIA., S.C.



Walter Fraschetto

March 24, 2000

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consolidated balance sheets

AS OF DECEMBER 31 1999, 1998 AND 1997
EXPRESSED IN THOUSANDS OF MEXICAN PESOS WITH PURCHASING POWER AS OF DECEMBER 31, 1999

	1999	1998	1997
ASSETS			
CURRENT ASSETS:			
Cash and marketable securities	$ 2,350,519	$ 779,314	$ 871,728
Notes and accounts receivable, net	2,196,434	1,748,301	1,444,107
Account receivable for sale of subsidiary	968,677	—	—
Inventories	749,194	1,355,658	1,408,395
Prepayments	31,605	72,667	83,267
Total current assets	6,296,429	3,955,940	3,807,497
INVESTMENT IN SHARES OF ASSOCIATED COMPANIES AND OTHER	560,452	499,258	733,101
PROPERTY, PLANT AND EQUIPMENT, net	12,707,702	13,523,923	12,366,875
GOODWILL, net	2,803,513	2,928,572	672,118
OTHER ASSETS, net	486,594	382,966	287,990
	$ 22,854,690	$ 21,290,659	$ 17,867,581
LIABILITIES AND STOCKHOLDERS' EQUITY			
CURRENT LIABILITIES:			
Bank loans and current portion of long-term debt	$ 672,754	$ 613,541	$ 499,345
Accounts payable to suppliers	1,246,941	1,635,312	1,145,418
Other accounts payable and accrued liabilities	1,417,955	1,158,112	774,329
Related companies	63,087	—	—
Income taxes	114,380	145,469	24,721
Employee profit sharing	295,796	263,686	254,760
Total current liabilities	3,810,913	3,816,120	2,698,573
INCOME TAXES PAYABLE	45,798	—	—
LONG-TERM DEBT	3,753,320	4,544,632	2,517,533
Total liabilities	7,610,031	8,360,752	5,216,106
STOCKHOLDERS' EQUITY:			
Capital stock	5,810,367	4,678,229	3,931,316
Reserve for repurchase of shares	181,395	46,798	46,798
Retained earnings	11,179,608	9,370,158	9,391,641
Cumulative restatement effect	(2,282,385)	(1,688,369)	(1,289,612)
	14,888,985	12,406,816	12,080,143
Minority interest	355,674	523,091	571,332
Total stockholders' equity	15,244,659	12,929,907	12,651,475
	$ 22,854,690	$ 21,290,659	$ 17,867,581

The accompanying notes are an integral part of these consolidated balance sheets.

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consolidated statements of income

*FOR THE YEARS ENDED DECEMBER 31, 1999, 1998 AND 1997
EXPRESSED IN THOUSANDS OF MEXICAN PESOS WITH
PURCHASING POWER AS OF DECEMBER 31, 1999
(EXCEPT FOR EARNINGS PER SHARE)*

	1999	1998	1997
NET SALES	$ 28,788,292	$ 27,262,102	$ 23,920,093
COST OF SALES	13,000,280	12,787,134	11,665,837
Gross profit	15,788,012	14,474,968	12,254,256
OPERATING EXPENSES:			
Distribution and selling	11,336,742	10,298,049	8,744,019
Administrative	1,602,089	1,536,069	1,289,357
	12,938,831	11,834,118	10,033,376
Operating income	2,849,181	2,640,850	2,220,880
INTEGRAL FINANCING RESULT:			
Interest paid, net	(246,506)	(374,268)	(258,479)
Exchange gain (loss), net	106,345	(554,991)	(120,282)
Gain from monetary position	476,864	636,587	496,800
	336,703	(292,672)	118,039
OTHER INCOME (EXPENSES), net	(185,128)	62,100	(143,330)
Income from sale of subsidiaries	132,756	—	—
Income before provisions	3,133,512	2,410,278	2,195,589
PROVISIONS FOR:			
Income taxes	846,977	791,491	668,714
Employee profit sharing	304,972	283,311	268,299
	1,151,949	1,074,802	937,013
Income before equity in results of associated companies	1,981,563	1,335,476	1,258,576
EQUITY IN RESULTS OF ASSOCIATED COMPANIES	39,269	30,969	50,476
Net income for the year	$ 2,020,832	$ 1,366,445	$ 1,309,052
NET INCOME APPLICABLE TO:			
Majority stockholders	$ 1,969,625	$ 1,339,950	$ 1,281,288
Minority stockholders	51,207	26,495	27,764
	$ 2,020,832	$ 1,366,445	$ 1,309,052
EARNINGS PER SHARE	$ 1.40	$ 0.99	$ 0.96
EARNINGS PER SHARE FROM SALE OF SUBSIDIARIES	$ 0.09	$ —	$ —
WEIGHTED AVERAGE OUTSTANDING SHARES, (000's)	1,401,553	1,356,515	1,340,000

The accompanying notes are an integral part of these consolidated statements.

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Grupo Bimbo, S.A. de C.V. and Subsidiaries
Translation of financial statements originally issued in Spanish

consolidated statements of stockholder's equity

FOR THE YEARS ENDED DECEMBER 31, 1999, 1998 AND 1997
EXPRESSED IN THOUSANDS OF MEXICAN PESOS WITH PURCHASING POWER AS OF DECEMBER 31, 1999

	Capital Stock	Reserve for Repurchase of Shares	Retained Earnings	Cumulative Restatement Effect	Minority Interest	Total Stockholders' Equity
BALANCES AS OF DECEMBER 31, 1996	**$ 3,931,316**	**$ 46,798**	**$ 8,249,479**	**$ (648,745)**	**$ 364,284**	**$ 11,943,132**
Investment of minority interest	—	—	—	—	94,631	94,631
Dividends declared	—	—	(139,126)	—	(27,927)	(167,053)
BALANCES BEFORE INTEGRAL EARNING	**3,931,316**	**46,798**	**8,110,353**	**(648,745)**	**430,988**	**11,870,710**
Net income for the year	—	—	1,281,288	—	27,764	1,309,052
Restatement effect of the year	—	—	—	(496,479)	112,580	(383,899)
Translation effect of the year	—	—	—	(144,388)	—	(144,388)
BALANCES AS OF DECEMBER 31, 1997	**3,931,316**	**46,798**	**9,391,641**	**(1,289,612)**	**571,332**	**12,651,475**
Increase in capital stock	746,913	—	—	—	—	746,913
Dividends declared	—	—	(1,361,433)	—	(69,069)	(1,430,502)
BALANCES BEFORE INTEGRAL EARNING	**4,678,229**	**46,798**	**8,030,208**	**(1,289,612)**	**502,263**	**11,967,886**
Net income for the year	—	—	1,339,950	—	26,495	1,366,445
Restatement effect of the year	—	—	—	(654,023)	(5,667)	(659,690)
Translation effect of the year	—	—	—	255,266	—	255,266
BALANCES AS OF DECEMBER 31, 1998	**4,678,229**	**46,798**	**9,370,158**	**(1,688,369)**	**523,091**	**12,929,907**
Increase in capital stock	1,132,138	—	(25,578)	—	—	1,106,560
Transfer from earnings to reserve for repurchase of shares	—	134,597	(134,597)	—	—	—
Dividends paid to minority interest	—	—	—	—	(39,220)	(39,220)
Decrease of minority interest	—	—	—	—	(83,044)	(83,044)
BALANCES BEFORE INTEGRAL EARNING	**5,810,367**	**181,395**	**9,209,983**	**(1,688,369)**	**400,827**	**13,914,203**
Net income for the year	—	—	1,969,625	—	51,207	2,020,832
Restatement effect of the year	—	—	—	(406,344)	(96,360)	(502,704)
Translation effect of the year	—	—	—	(187,672)	—	(187,672)
BALANCES AS OF DECEMBER 31, 1999	**$ 5,810,367**	**$ 181,395**	**$ 11,179,608**	**$ (2,282,385)**	**$ 355,674**	**$ 15,244,659**

The accompanying notes are an integral part of these consolidated statements.

Grupo Bimbo, S.A. de C.V. and Subsidiaries
Translation of financial statements originally issued in Spanish

consolidated statements of changes in financial position

FOR THE YEARS ENDED DECEMBER 31, 1999, 1998 AND 1997
EXPRESSED IN THOUSANDS OF MEXICAN PESOS WITH PURCHASING POWER AS OF DECEMBER 31, 1999

	1999	1998	1997
OPERATIONS:			
Results-			
Net income for the year	$ 2,020,832	$ 1,366,445	$ 1,309,052
Add (deduct)- Items which did not require (generate) cash-			
Depreciation and amortization	1,098,212	1,117,875	1,002,543
Goodwill amortization	162,795	303,250	417,965
Equity in results of associated companies, net of dividends received	(39,269)	(29,246)	(10,279)
Employee benefits	(36,751)	(87,693)	16,239
Income taxes payable	45,798	—	—
Net resources obtained from results	3,251,617	2,670,631	2,735,520
Net resources generated by operating working capital	80,880	471,134	87,648
Increase in accounts receivable for sale of subsidiary	(968,677)	—	—
Net resources generated by operations	2,363,820	3,141,765	2,823,168
FINANCING ACTIVITIES:			
Increase (decrease) in bank loans and long-term debt in real terms	(319,736)	2,614,431	(279,346)
Decrease in bank loans and long-term debt from restatement to constant Mexican pesos	(410,712)	(473,136)	(517,838)
Dividends declared	—	(1,430,502)	(167,053)
Associated company dividends paid	(39,220)	—	—
Increase in capital stock	1,106,560	746,913	—
(Decrease) increase in investment of minority interest	(83,044)	—	94,631
	253,848	1,457,706	(869,606)
INVESTING ACTIVITIES:			
Decrease (increase) in investment in shares	(21,925)	228,626	(46,704)
Additions to property, plant and equipment, less net book value of retirements	(1,840,766)	(1,655,757)	(1,562,632)
Cost of property, plant and equipment of the sold subsidiary	920,841	—	—
Net (increase) decrease in other assets	(66,877)	(7,284)	(37,884)
Goodwill	(37,736)	(2,559,704)	21,423
Net effect of incorporating the subsidiary acquired	—	(697,766)	—
	(1,046,463)	(4,691,885)	(1,625,797)
Net increase (decrease) in cash and marketable securities	1,571,205	(92,414)	327,765
CASH AND MARKETABLE SECURITIES:			
At beginning of the year	779,314	871,728	543,963
At end of the year	$ 2,350,519	$ 779,314	$ 871,728

The accompanying notes are an integral part of these consolidated statements.

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notes to consolidated financial statements

AS OF DECEMBER 31, 1999, 1998 AND 1997
EXPRESSED IN THOUSANDS OF MEXICAN PESOS WITH PURCHASING POWER AS OF DECEMBER 31, 1999

1. EXPLANATION ADDED FOR TRANSLATION INTO ENGLISH:

These financial statements are presented on the basis of accounting principles generally accepted in Mexico. Certain accounting practices applied by the Company that conform with accounting principles generally accepted in Mexico may not conform with accounting principles generally accepted in the country of use.

2. PRINCIPAL ACTIVITIES AND SIGNIFICANT EVENTS:

The companies are engaged in the manufacturing, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

In a General Extraordinary Stockholders' Meeting held on August 10, 1999, a change in the corporate name from Grupo Industrial Bimbo, S. A. de C. V. to Grupo Bimbo, S. A. de C. V. was approved.

In May 1998, Grupo Bimbo, S.A. de C.V. ("the Company") acquired 100% of the shares of Mrs. Baird's Bakeries, Inc., a company incorporated in the United States of America engaged in the manufacturing of bread and cakes in the state of Texas. From the acquisition date to December 31, 1998 the net sales, operating income, net income for the year and total assets of this company are $2,430,829, $83,449, $87,061 and $1,441,194, respectively.

The Company operates within different geographic areas: Mexico, the United States of America (U.S.) and Central and South America ("OLA").

The most significant data by geographic area are as follows:

As of December 31, 1999:

	Mexico	U.S.	OLA	Total
Net sales	$21,128,417	$ 5,407,158	$ 2,252,717	$ 28,788,292
Operating income (loss)	$ 2,955,133	$ 42,266	$ (148,218)	$ 2,849,181
Operating income plus depreciation and amortization (EBITDA)	$ 3,708,641	$ 221,428	$ 17,324	$ 3,947,393
Total assets	$15,921,657	$ 4,556,176	$ 2,376,857	$ 22,854,690

As of December 31, 1998:

Net sales	$20,769,293	$ 3,926,650	$ 2,566,159	$ 27,262,102
Operating income (loss)	$ 2,875,001	$ 114,385	$ (348,536)	$ 2,640,850
Operating income (loss) plus depreciation and amortization (EBITDA)	$ 3,676,930	$ 252,962	$ (171,167)	$ 3,758,725
Total assets	$13,797,475	$ 4,748,989	$ 2,744,195	$ 21,290,659

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As of December 31, 1997:

Net sales	$19,982,999	$ 1,694,091	$ 2,243,003	$ 23,920,093
Operating income (loss)	$ 2,402,369	$ 42,609	$ (224,098)	$ 2,220,880
Operating income (loss) plus depreciation and amortization (EBITDA)	$ 3,137,695	$ 113,567	$ (27,839)	$ 3,223,423
Total assets	$14,061,033	$ 842,801	$ 2,963,747	$ 17,867,581

Significant events-

On December 23, 1999, the Company executed a share buy/sell agreement with Cocape, S.A. de C.V., whereby it sold to the latter all of its equity interests of the companies engaged in the production of wheat flour and jellies. The sales price amounted to US$106 million, of which, US$2 million and US$3.1 million were paid on December 23, 1999 and on January 20, 2000, respectively. The remaining US$100.9 million will be paid by the buyer on April 19, 2000. A gain of $132,756 was recorded in connection with this transaction and was retroactively reflected in the statement of income as a separate line item.

These subsidiaries were consolidated through the effective date of the sale by the Company, and their assets and liabilities were as follows:

CURRENT ASSETS:	
Cash and marketable securities	$ 35,837
Accounts receivable, net	192,124
Inventories, net	284,294
Total current assets	512,255
PROPERTY, PLANT AND EQUIPMENT, net	920,841
OTHER ASSETS, net	72,450
	$ 1,505,546
CURRENT LIABILITIES:	
Accounts payable to suppliers	$ 460,741
Other accounts payable and accrued liabilities	91,784
Total liabilities	552,525
STOCKHOLDERS' EQUITY	953,021
	$ 1,505,546

3. BASIS OF CONSOLIDATION:

The accompanying consolidated financial statements include the financial statements of the Company and subsidiaries in which it exercises control over management, divided into the following three business divisions:

- Bakeries.
- Snack and candy manufacturing companies
- Agro-industrial and other companies (until December 23, 1999)

During 1999, 1998 and 1997 the net sales of the Mexican Bimbo and Marinela lines, which are part of the bakeries, represented approximately 60%, 55% and 60%, respectively, of net consolidated sales.

The financial statements of independently operated foreign subsidiaries are restated based on the inflation rate of the countries in which they operate, in accordance with the procedures described in Note 4, and are translated at the exchange rate at yearend.

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Equity in earnings and changes in equity of subsidiaries that were acquired or sold during the year were included in the financial statements from or up to the date of the transactions and were restated in terms of the purchasing power of the Mexican peso at yearend.

All significant intercompany transactions and balances have been eliminated in consolidation.

4. SIGNIFICANT ACCOUNTING POLICIES:

The accounting policies followed by the companies are in conformity with the accounting principles generally accepted in Mexico, which require that management make certain estimates and use certain assumptions to determine the valuation of some items included in the financial statements and make the required disclosures therein. While the estimates and assumptions used may differ from their final effect, management believes that they were adequate under the circumstances. The significant accounting policies are as follows:

a) Changes in accounting policies-

Starting on January 1, 1998, the Company adopted the new procedures for the translation of the financial statements of its foreign subsidiaries as prescribed by Bulletin B-15 recently issued by the Accounting Principles Commission (APC) of the Mexican Institute of Public Accountants. The effect of this change consists of the restatement of financial information of the foreign subsidiaries based on the inflation index of the corresponding country and translating it at the exchange rate as of the latest yearend, both for the current and prior years, rather than restating all consolidated information based on the Mexican National Consumer Price Index (NCPI). Consequently, all financial statement amounts are comparable considering the functional currency of each country in which the Company operates.

b) Basis of translation of financial statements-

The accounting records of the foreign companies located in the United States of America (U.S.), Central and South America (OLA), which represented 27%, 24% and 16% of consolidated net sales and 31%, 35% and 21% of total consolidated assets in 1999, 1998 and 1997, respectively, are maintained in local currency. Effective 1998, they are translated into Mexican pesos in accordance with Bulletin B-15, "Transactions in Foreign Currency and Translation of Financial Statements of Foreign Operations", issued by the APC, as follows:
Adjust the local currency financial statements to conform with the accounting principles generally accepted in Mexico and restate them using the inflation rate applicable for each country.

- All amounts in the balance sheet, except for those related to capital stock, are translated at the exchange rate effective at yearend. Capital stock is translated at the exchange rate effective at the time of acquisition or incorporation of the subsidiaries.

- The statement of income is translated at the exchange rates in effect at the end of the latest period. The effects of exchange rate fluctuations on the translation are recorded in the cumulative restatement effect included in stockholders' equity.

Until 1997, the accounting records of the foreign subsidiaries were first translated into U.S. dollars and then into Mexican pesos, in accordance with International Accounting Standard No. 21 (IAS-21), "Effects of Variations in Exchange Rates of Foreign Currency and Translation of Financial Statements in Foreign Currency". That bulletin establishes the procedures for the translation of financial statements of entities that are considered foreign entities. The procedures were as follows:

- The effects of inflation in the financial information was recognized using the inflation index of each country and eliminating the effects of the differences between the accounting principles generally accepted in the foreign countries and the accounting principles generally accepted in Mexico.

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- All balance sheet amounts, except capital stock, were translated at the yearend exchange rate. Capital stock is translated using the exchange rate at the date of acquisition or incorporation of the subsidiaries.

- The statement of income was translated each month using the average monthly exchange rate.

- The effects of exchange rate fluctuations on the translations were recorded in the cumulative translation effect in stockholders' equity.

Since the operations of Mrs. Baird's Bakeries, Inc. represents a "foreign entity" as defined by Bulletin B-15, the Company has designated the net investment in this foreign subsidiary as an economic hedge of the related financing obtained in U.S. dollars and used to acquire this subsidiary. Accordingly, the related foreign exchange gains (losses) in Mexican pesos, which amounted to $(68,560) and $292,312 in 1999 and 1998, respectively, were recorded as a (credit) charge in the cumulative translation effect and the related monetary gain on the debt was recorded using the inflation index of the United States of America, in accordance with the guidelines of Bulletin B-15.

c) Recognition of the effects of inflation in the financial information-

The companies restate all of their financial statements in terms of the purchasing power of the Mexican peso as of the end of the latest period, thereby comprehensively recognizing the effects of inflation. Accordingly, the accompanying financial statements of the prior year have been restated in terms of Mexican pesos as of December 31, 1999. The prior years amounts presented herein differ from those originally reported in terms of Mexican pesos of the corresponding years. Consequently, all financial statement amounts are comparable, both for the current and the prior years, since all are stated in terms of Mexican pesos with the same purchasing power.

The rates of inflation of the countries in which the Company operates are as follows:

	%		
	1999	**1998**	**1997**
Argentina	(1.8)	0.64	(0.07)
Colombia	9.23	16.70	17.68
Costa Rica	10.11	12.36	11.20
Chile	2.60	4.67	6.04
United States of America	3.00	1.61	1.70
El Salvador	5.60	4.21	1.93
Guatemala	8.00	7.48	7.13
Honduras	14.06	13.70	12.80
Peru	5.50	6.01	6.46
Mexico	12.31	18.60	15.71
Uruguay	(0.34)	3.30	13.26
Venezuela	20.00	29.90	37.60

To recognize the effects of inflation in terms of Mexican pesos with purchasing power as of yearend, the procedures were as follows:

Balance sheet:

Inventories are valued at average cost that are similar to net replacement value, which does not exceed realizable value.

Property, plant and equipment are originally recorded at acquisition or production cost, and restated using factors derived from the National Consumer Price Index (NCPI). Depreciation is computed based on the estimated useful lives of the corresponding assets, on a restated basis.

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Prepaid advertising expenses are restated by applying factors derived from the NCPI, from the date of payment through maturity or yearend.

The investment in associated companies was restated by applying the equity method to the restated stockholders' equity of the associated companies.

Goodwill is restated using a factor derived from the inflation rate of the country in which the Company has the investment, from the date of acquisition of the related subsidiaries and associated companies.

Stockholders' equity and other nonmonetary items are restated using a factor derived from the NCPI cumulative from the date of contribution or generation.

- **Statement of income:**
  Revenues and expenses that are associated with a monetary item are restated from the month in which they arise through yearend, based on factors derived from the NCPI.

  Costs and expenses associated with nonmonetary items are restated as follows:

  - The cost of sale is restated as of January 1, 1999 based on the replacement costs at the time of sale. Up until December 31, 1998, the cost of sale was restated using the last-in/first-out (LIFO) method, with the additional restatement of consumption of the inventory layers of prior years.

  - Depreciation is calculated on the restated cost of the corresponding property, plant and equipment.

  - Expenses associated with nonmonetary items are restated through yearend, as a function of the restatement of the nonmonetary asset that is being consumed or sold.

  The result from monetary position, which represents the erosion of the purchasing power of monetary items caused by inflation, is determined by applying to net monetary assets or liabilities at the beginning of the month the inflation factor derived from the NCPI of each country and is restated through yearend with the corresponding factor.

- **Other statements:**
  The cumulative restatement effect presented in the statement of stockholders' equity is comprised mainly of the gain or loss from holding nonmonetary assets, which beginning in 1997 represents the change in the specific price level of the inventories, investment in shares of associated companies and property, plant and equipment of foreign subsidiaries and their effect on the results of operations as compared to the NCPI, and also includes the cumulative translation effect.

  The statement of changes in financial position presents the changes in constant Mexican pesos, according to the financial position at the prior yearend, restated to Mexican pesos as of the end of the latest yearend.

d) Marketable securities-
Marketable securities are primarily short-term investments, bank deposits, bank acceptances and treasury bills valued at market (cost plus accrued interest).

e) Investment in shares of other companies-
Long-term investments in which the Company does not have significant influence are valued at cost.

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f) Goodwill-

Goodwill resulting from acquisitions made by the Company at prices greater than the book value of the related companies is amortized, beginning in 1998, over a period of 20 years, the term over which management expects that additional benefits will be generated by these investments and it is maintained in the country currency at the subsidiary acquired. Until 1997, goodwill was amortized over 8 years. The amounts amortized in 1999, 1998 and 1997 were $162,795, $303,250 and $417,965, respectively, and are included in the statement of income in other income (expenses), which does not include the following sales:

- In May 1998, the Company sold its capital investment of 40% in Quan, S.A. de C.V. (associated company), taking it out of the ice cream business. As a result, the Company canceled $82,264 of the corresponding goodwill against the statement of income under other expenses.

- During 1997, Quan, S.A. de C.V. (associated company) sold 50.1% of its investment in Helados Holanda, S.A. de C.V. and 49.9% in Helados Bing, S.A. de C.V. (its largest subsidiaries). As a result, the Company canceled $161,912 of the corresponding goodwill against the equity in results of associated companies, which included the gain on the sale.

g) Income taxes and employee profit sharing-

Since there are no significant nonrecurring temporary differences, which arise from specific items whose turnaround period can be determined and that are not expected to be replaced by items of a similar nature and amount, the companies have not recorded any deferred or prepaid income taxes and employee profit sharing effects.

h) Employee benefits-

Under Mexican labor law, most of the subsidiaries are liable for separation payments and seniority premiums to employees terminating under certain circumstances.

The companies record their liabilities from seniority premiums, pensions and indemnity payments as earned or incurred, using actuarial calculations based on the projected unit credit method, using real interest rates and making the contributions to the trust on the same basis.

Accordingly, the liability is being accrued, which at present value will cover the obligation from benefits projected to the estimated retirement date of the Company's employees.

Severance payments to involuntarily terminated employees are charged to results in the period in which they are made.

i) Integral financing result-

The integral financing result includes all financial revenues and expenses, such as interest income and expense, exchange gains or losses and the gains or losses from monetary position as they occur or accrue.

Transactions in foreign currency are recorded at the exchange rate as of the date of the transaction and the assets and liabilities in foreign currency are adjusted at the exchange rate as of yearend, as part of the integral financing result.

j) Earnings per share-

Earnings per share have been computed each year by dividing the majority net income for continuing operations for the year by the weighted-average number of shares outstanding during the year. As of December 31, 1997 a retroactive adjustment was made for the stock split on February 19, 1998.

The effect per share from the gain on the sale of the subsidiary is computed by dividing the underlying gain by the weighted-average number of shares outstanding, according to the above procedure.

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k) Comprehensive income-

Beginning in 1999, the items making up the "comprehensive income" are grouped in the statement of shareholders' equity. These items include any gains or losses that according to specific regulations are presented directly in shareholders' equity, such as the gain or loss from holding nonmonetary assets and the translation gain or loss. This grouping was retroactively reflected as of January 1, 1997.

5. NEW ACCOUNTING PRINCIPLE:

Beginning on January 1, 2000, the new Bulletin D-4 for the accounting treatment of income and asset taxes and employee profit sharing, became effective.

This new accounting treatment requires the recognition of the comprehensive deferred tax asset and liability effects applicable to the cumulative temporary differences between assets and liabilities recorded in the financial statements. Employee profit sharing will be calculated only for those temporary differences of the fiscal year whose date of reversal can be determined.

As of December 31, 1999, the initial effect of the application of this new bulletin amounted to $1,247,904 and will be recognized beginning in 2000, as a long-term liability that will affect the balance of shareholders' equity. Applying this new accounting principle will have no effect on the generation of the companies' cash flow.

6. TRANSACTIONS AND FOREIGN CURRENCY POSITION:

At December 31, 1999, 1998 and 1997 the exchange rate was $9.5222, $9.865 and $8.0833 Mexican pesos per U.S. dollar, respectively, and foreign currency denominated assets and liabilities of those subsidiaries located in Mexico amount to:

	Thousands of U.S. Dollars		
	1999	**1998**	**1997**
Current assets	232,407	33,872	34,565
Liabilities-			
Current	30,265	43,960	82,087
Long-term	404,400	416,200	228,000
	434,665	460,160	310,087
Net foreign currency liability position	202,258	426,288	275,522
Equivalent in thousands of Mexican pesos	$ 1,925,941	$ 4,205,334	$ 2,718,024

OLA has a long-term liability position in foreign currency with respect to the country in which it operates in the amount of 5.9 million U.S. dollars, equivalent to $56,180.

The principal transactions in foreign currency carried out by the companies, excluding foreign subsidiaries' sales and the exports between companies, which were eliminated in the consolidation process, are as follows:

	Thousands of U.S. Dollars		
	1999	**1998**	**1997**
Sales	39,631	15,594	40,896
Purchases other than fixed assets	(129,152)	(115,473)	(99,369)
Interest expense, net	(21,664)	(33,913)	(18,922)
Other expenses	(12,668)	(10,213)	(18,138)
	(123,853)	(144,005)	(95,533)
Equivalent in thousands of Mexican pesos	$ (1,201,371)	$ (1,316,206)	$ (873,172)

At March 24, 2000, the unaudited foreign exchange position is similar to that at yearend, and the exchange rate is $9.2765 Mexican pesos per U.S. dollar.

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7. NOTES AND ACCOUNTS RECEIVABLE:

	1999	1998	1997
Trade and agencies, net	$ 1,256,141	$ 1,122,057	$ 835,562
Notes receivable	198,961	26,926	38,358
Recoverable value-added tax	165,934	309,111	293,720
Sundry debtors	525,347	284,963	270,044
Molino Montserrat, S.A. de C.V., related party	46,902	—	—
Officers and employees	3,149	5,244	6,423
	$ 2,196,434	$ 1,748,301	$ 1,444,107

8. INVENTORIES:

	1999	1998	1997
Raw materials	$ 220,676	$ 398,798	$ 427,443
Containers and wrapping	171,622	187,841	162,580
Orders-in-process	40,534	26,587	36,372
Finished products	171,577	192,992	222,491
Advances to suppliers	78,347	10,382	16,188
Raw materials-in-transit	29,875	495,272	500,914
Other	36,563	43,786	42,407
	$ 749,194	$ 1,355,658	$ 1,408,395

9. PREPAYMENTS:

	1999	1998	1997
Advertising	$ 4,663	$ 38,883	$ 60,141
Other	26,942	33,784	23,126
	$ 31,605	$ 72,667	$ 83,267

10. INVESTMENT IN SHARES OF ASSOCIATED COMPANIES AND OTHER:

	1999	1998	1997
Associated companies	$ 500,298	$ 497,822	$ 731,398
Other	60,154	1,436	1,703
	$ 560,452	$ 499,258	$ 733,101

11. PROPERTY, PLANT AND EQUIPMENT:

	1999	1998	1997
Buildings	$ 3,969,358	$ 4,102,224	$ 3,704,227
Manufacturing equipment	9,286,070	9,300,363	8,462,145
Vehicles	4,279,629	4,336,098	4,204,065
Molds and trays	369,188	478,574	352,436
Mechanic shop equipment	252,884	194,869	146,786
Office equipment	195,877	229,441	122,819
Computer equipment	279,060	237,841	195,521
Freezers	17,524	96,687	76,687
	18,649,590	18,976,097	17,264,686
Less- Accumulated depreciation	(7,640,396)	(7,200,132)	(6,598,300)
	11,009,194	11,775,965	10,666,386
Land	1,315,234	1,332,498	1,269,103
Construction-in-progress and machinery-in-transit	383,274	415,460	431,386
	$ 12,707,702	$ 13,523,923	$ 12,366,875

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The average annual rates of depreciation used are as follows:

	%		
	1999	1998	1997
Buildings	5	5	6
Manufacturing equipment	10	11	11
Vehicles	9	8	8
Molds and trays	30	30	31
Mechanic shop equipment	11	10	12
Office equipment	15	15	16
Computer equipment	15	15	16
Freezers	6	6	5

12. RELATED-PARTY TRANSACTIONS AND BALANCES:

The companies had the following significant transactions with related parties:

	1999	1998	1997
Revenues for-			
Sale of raw materials and finished products	$ 6,199	$ —	$ —
Sales of marks	71,500	—	—
Interest	2,952	—	—
Service	1,238	—	—
Rent	2	—	—
Other	2,123	—	—
	$ 84,014	$ —	$ —
Expenses for-			
Purchases of raw materials and finished products	$ 43,049	$ —	$ —
Interest	4,099	—	—
	$ 47,148	$ —	$ —

The net intercompany payable balances are as follows:

	1999	1998	1997
Frexport, S.A. de C.V.	$ 38,121	$ —	$ —
Bimabel, S.A. de C.V.	18,745	—	—
Molino San Vicente de Paul, S.A. de C.V.	6,221	—	—
	$ 63,087	$ —	$ —

13. EMPLOYEE BENEFITS:

The employee benefit obligation relates to the pension plan, which will cover the pension (or severance payment) and seniority premiums due upon retirement. The amount resulting from the actuarial calculations prepared by external actuaries is being funded using the projected unit credit method. Below is a breakdown of this obligation:

	1999	1998	1997
Projected benefit obligation (PBO)	$ (1,536,185)	$ (1,324,233)	$ (1,062,184)
Plan assets	2,515,128	2,381,998	2,542,546
Excess of plan assets over projected benefit obligation	978,943	1,057,765	1,480,362
Initial transition liability to be amortized	(504,380)	(210,442)	(516,710)
Unamortized actuarial losses	(62,961)	(504,811)	(715,251)
Prepayment, included in other assets	$ 411,602	$ 342,512	$ 248,401

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At December 31, 1999, the amount accrued for the obligation from present services (equivalent to the PBO without projecting salaries to the date of retirement) amounted to $1,258,370.

The prepayment resulting from the plan assets exceeding the projected liabilities at December 31, 1999 is recognized in results over the estimated remaining work life of the employees.

The cost of employee benefits for the years ended December 31, 1999, 1998 and 1997 is as follows:

	1999	1998	1997
Service costs for the year	$ 97,969	$ 73,641	$ 74,720
Financial cost for the year	65,102	50,674	48,953
Amortization of actuarial losses, net	(21,638)	(17,661)	(20,425)
Amortization of transition liability	(4,011)	(19,844)	—
	137,422	86,810	103,248
Less- Return on plan assets	(174,173)	(174,503)	(87,009)
Net effect of the year	$ (36,751)	$ (87,693)	$ 16,239

The assumptions used in the actuarial computations during 1999, 1998 and 1997 are as follows:

Interest rate	5.0%
Investment return rate	7.0%
Salary increase rate	1.5%

The changes in the prepayment were as follows:

	1999	1998	1997
Beginning balance	$ 342,512	$ 248,401	$ 211,090
Provision for the year	36,751	87,693	(16,239)
Contributions to the fund	17,550	11,373	41,758
Changes in assumptions	14,789	(4,955)	11,792
Ending balance	$ 411,602	$ 342,512	$ 248,401

The changes in the fund were as follows:

	1999	1998	1997
Beginning balance	$ 2,381,998	$ 2,542,546	$ 1,745,495
Contributions	17,550	11,373	41,758
Return on plan assets	174,173	174,503	87,009
Payments	(24,309)	(17,873)	(17,906)
Changes in assumptions	(34,284)	(328,551)	686,190
Ending balance	$ 2,515,128	$ 2,381,998	$ 2,542,546

The amortization period for unamortized items as of December 31, 1999 s as follows:

	Remaining Years	
Caption	Seniority Premiums	Pension Plan
Transition liability	21.13	31.79
Changes in assumptions	20.88	28.20

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14. TAX ENVIRONMENT:

In Mexico

Income and asset tax regulations-

The companies are subject to income and asset taxes. Income taxes are computed taking into consideration certain taxable and deductible effects of inflation, such as depreciation calculated on restated asset values and the deduction of purchases in place of cost of sales, which permit the deduction of current costs, and taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the inflationary component, which is similar to the gain or loss from monetary position. Beginning in 1999, the income tax rate increased from 34% to 35%, with the obligation to pay this tax each year at a rate of 30% (transitorily 32% in 1999), with the remainder payable upon distribution of earnings. This remainder is recorded as a long-term liability.

Asset taxes are computed at an annual rate of 1.8% on the average of the majority of restated assets less certain liabilities, and the tax is paid only to the extent that it exceeds the income taxes of the period. The Company paid no asset taxes in 1999, 1998 and 1997 on a consolidated basis. Any required payment of asset taxes is creditable against the excess of income taxes over asset taxes of the previous three and following ten years.

The Company is authorized by the Mexican tax authorities to file a consolidated income and asset tax return only for the Mexican subsidiaries.

Reconciliation of accounting and taxable income-

The provision for income taxes was determined based on the amount payable in accordance with the consolidated Mexican taxable income. The principal differences between book and taxable income are: depreciation on restated asset values, gain from monetary position, inflationary component, the difference between cost of sales and inventory purchases and translation effects.

Employee profit sharing is calculated on the basis of the individual results of each Mexican subsidiary and is determined based on taxable income that excludes the inflationary component and depreciation is based on historical rather than restated values.

In other countries-

Foreign subsidiaries compute their income taxes based on their individual taxable income and in accordance with the specific provisions of each country. Provisions for income taxes of these subsidiaries are not significant because most of them have tax losses and therefore, no resulting income taxes.

15 BANK LOANS AND LONG-TERM DEBT:

At December 31, 1999, the Company's bank loans and long-term debt are as follows:

Bank	Short-term	Long-term
International Finance Corporation (IFC)	$ 112,362	$ 994,118
ING Baring (U.S.) Capital Corporation (ING)	—	952,220
Bank of Montreal (BM)	285,666	1,618,774
Other	274,726	188,208
	$ 672,754	$ 3,753,320

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The maturities of long-term debt as of December 31, 1999 are as follows:

Due in	
2001	$ 1,159,804
2002	1,173,636
2003	616,704
2004	258,507
2005	112,362
2006 and thereafter	432,307
	$ 3,753,320

- On August 17, 1998, the Company obtained a loan from BM for 200 million U.S. dollars, which was provided on that date and used for the acquisition of 100% of the shares of Mrs. Baird's Bakeries, Inc. The loan is due in 5 years including a 2-year grace period. The financing consists of ten promissory notes of which 37.5 million U.S. dollars were funded with BM's resources and the rest syndicated with several national and foreign banks.

  This financing bears variable interest at LIBOR plus 0.9375% for the first year; LIBOR plus 1% in the second year; LIBOR plus 1.0625% in the third year; LIBOR plus 1.125% in the fourth year and thereafter. This financing has 13 quarterly payments, which begin on August 17, 2000. Also, certain restrictions are established with respect to the financial structure of the Company and limit the payment of dividends from earnings generated subsequent to the signing of the loan agreement. As of December 31, 1999, the Company is in compliance with these restrictions.

- October 17, 1997, the Company obtained financing from ING in the amount of 100 million U.S. dollars, which was utilized at that date to pay the remainder of the 100 million U.S. dollar loan from IFC obtained in November 1991 and other short-term loans in U.S. dollars. This financing consists of six promissory notes, of which one in the amount of 20 million U.S. dollars was obtained from ING and the rest syndicated with a number of foreign banks.

  This financing bears interest at LIBOR plus 0.675% and will be paid in two equal installments on September 17, 2001 and 2002. Also, certain restrictions are established with respect to the financial structure of the Company and the payment of dividends from earnings generated subsequent to the signing of the loan agreement. As of December 31, 1999, the Company is in compliance with these restrictions.

  On September 18, 1998, the Company signed an interest rate swap contract with Citibank, NA, whereby the fixed annual interest rate will be 5.09% on the financing acquired with ING, for a 3-year term starting on March 17, 1999, with quarterly payments as of that date.

- On February 2, 1996, the Company contracted additional financing with IFC in the amount of 140 million U.S. dollars, which was funded on that date and utilized to repay its short-term loan in U.S. dollars outstanding at December 31, 1995. The financing consists of three promissory notes; promissory notes "A" and "C" were obtained from IFC and funds for promissory note "B" were provided by private U.S. investors through IFC. However, for Company purposes the resources were fully provided by IFC.

  The promissory notes are for 25, 105 and 10 million U.S. dollars for the "A", "B" and "C" notes, respectively. The "A" and "B" notes bear interest at a fixed annual rate of 8.74%, and the "C" note bears interest at a variable six-month LIBOR rate, all of which are payable in semiannual installments.

  The financing term is 12 years, with 11 annual payments of principal beginning February 1998, for promissory notes "A" and "B", and the term is 10 years for promissory note "C", which is due at the end of the contract

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based on the value of the Company's shares on the Mexican stock exchange. The total amount to be paid will be calculated by multiplying the principal by the return on the shares over the 10 years, with a maximum of 2.25 times the principal (22,500,000 U.S. dollars) and a minimum equivalent to the amount of the promissory note. This promissory note is private and therefore not negotiable.

There are certain restrictions and obligations established with respect to the financial structure of the Company and the guarantors of the loan. Dividend payments must be approved by IFC, and new financing is limited. Certain subsidiaries are also guarantors on the loans. At December 31, 1999, the Company has complied with all of the restrictive covenants.

There are other direct and unsecured loans in U.S. dollars with domestic and foreign banks, which bear interest at variable rates based on LIBOR.

16. STOCKHOLDERS' EQUITY:

At the General Extraordinary Stockholders' Meeting held on February 19, 1998, the stockholders approved an increase in the fixed portion of capital stock through a stock split of four new shares for each share outstanding. As of this date, the fixed portion of the capital stock is represented by 1,340,000,000 Series "A" shares, ordinary, nominative, without par, fully subscribed and paid.

At the General Extraordinary Stockholders' Meeting held on April 28, 1998, the stockholders approved an increase in the fixed capital stock of $660,060 (at nominal value) through the issuance of 27,400,000 Series "A" shares, ordinary, nominative, without par. Such increase was paid in cash.

During a General Extraordinary Shareholders' Meeting held on April 27, 1999, the shareholders approved an increase in the fixed portion of the Company's capital stock of $1,073,160 (nominal value), through the issuance of 54,200,000 shares, placed through a public offering. This increase resulted in share placement-related expenses for $25,578 ($23,215 at nominal value), which were applied to retained earnings, net of the income tax effect.

During a General Extraordinary Shareholders' Meeting held on August 10, 1999, the shareholders approved an increase in the reserve for repurchase of own shares of $134,597 ($130,000 at nominal value), through the application from retained earnings.

At December 31, 1999, the capital stock was made up of 1,421,600,000 shares fully subscribed and paid, corresponding to the fixed portion of capital stock.

The variable capital stock cannot exceed ten times the amount of minimum fixed capital without withdrawal rights and will be represented by Series "B" shares, ordinary, nominative, without par and/or shares with limited voting rights, nominative, without par, which will be denominated with the name of the Series determined when issued. At no time can the shares with limited voting rights represent more than 25% of total capital stock.

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Stockholders' equity is as follows:

	1999	1998	1997
Capital stock-			
Historical	$ 2,299,288	$ 1,226,128	$ 626,068
Restatement	3,511,079	3,452,101	3,305,248
	$ 5,810,367	$ 4,678,229	$ 3,931,316

	1999	1998	1997
Retained earnings-			
Historical	$ 2,829,517	$ 2,853,858	$ 2,266,366
Legal reserve (historical)	188,000	126,000	80,000
Restatement	8,162,091	6,390,300	7,045,275
	$ 11,179,608	$ 9,370,158	$ 9,391,641

	1999	1998	1997
Reserve for repurchase of shares-			
Historical	$ 150,000	$ 20,000	$ 20,000
Restatement	31,395	26,798	26,798
	$ 181,395	$ 46,798	$ 46,798

Dividends paid to majority shareholders in 1998 and 1997 are as follows:

	Nominal Value		
Approved at Stockholders' meeting on:	Mexican Pesos per Share	Total	Restated as of December 31, 1999
April 29 and December 14, 1998	$0.70 and $0.15	$ 1,143,110	$ 1,361,433
April 29, 1997	$ 0.30	$ 100,500	$ 139,126

As of 1999, dividends paid to individuals or foreign residents will be subject to income tax withholding at an effective rate of 7.5% to 7.7%, depending on the year in which the earnings were generated. In addition, if earnings for which no corporate tax has been paid are distributed, the tax must be paid upon distribution of the dividends. Consequently, the Company must keep a record of earnings subject to each tax rate. At December 31, 1999, earnings for which corporate taxes have been paid amounted to approximately $10,321,000.

Capital reductions will be subject to taxes on the excess of the reduction over the price-level adjusted paid-in capital, in accordance with the formula prescribed by the income tax law.

The annual net income of the Company and some subsidiaries is subject to the legal requirement that 5% be transferred to a legal reserve each year until the reserve equals 20% of capital stock. This reserve may not be distributed to stockholders during the existence of the Company, except in the form of a stock dividend.

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17. FINANCIAL INSTRUMENTS:

a) Interest rate swap-

In order to reduce its exposure to financial risks, the Company entered into an interest rate swap to modify the profile of its debt risk. This swap is defined as variable-to-fixed interest rate and is intended to set a fixed interest rate for the service of the US dollar-denominated debt, and thus avoid the negative impact of an increase in interest rates.

The interest rate set by the Company according to the swap is 5.09% and its nominal amount is $100 million U.S. dollars. The swap's floating rate is referenced to the three-month LIBOR. The swap expires in September 2001 and is revised on a quarterly basis.

The swap gains or losses are presented under the liabilities they hedge and are included as a part of interest expense in the statement of income.

b) Optional structure of the exchange rate-

In order to hedge exchange risks that may arise in connection with its US dollar-denominated liabilities, on November 28, 1999 the Company entered into an optional structure of the Mexican peso versus the US dollar, whereby the fluctuation of the exchange rate above 11.76 Mexican pesos to the US dollar is hedged. The option's nominal amount is $150 million U.S. dollars and expires on June 27, 2001.

The cost or premium of this instrument is zero. However, if at the expiration date the exchange rate is equal to or above $12.90 Mexican pesos to the US dollar, the Company must pay a premium of $75,000 or 4.25% on the nominal amount. Furthermore, if at any time during the life of the instrument, the exchange rate should drop to 9.14 Mexican pesos to the US dollar, which occurred on March 23, 2000, the Company agrees to buy $150 million U.S. dollars at the exchange rate of $11.76 per US dollar.

The costs and expenses related to the optional structure will be offset in the balance sheet against the liabilities it hedges, while in the statement of operations, these amounts will be recorded as part of the exchange losses.

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board of directors

chairman

Roberto Servitje Sendra	**pr**

directors

Henry Davis Signoret	**i**
José Antonio Fernández Carbajal	**r**
José Luis González González	**i**
Jaime Jorba Sendra	**pr**
Mauricio Jorba Servitje	**pr**
Francisco Laresgoiti Hernández	**pr**
José Ignacio Mariscal Torroella	**pr**
Carlos Mata Alvarez	**pi**
Víctor Milke Auais	**r**
Raúl Obregón del Corral	**pr**
Roberto Quiroz Montero	**pi**
Lorenzo Sendra Mata	**pr**
Roberto Servitje Achútegui	**pr**
Daniel Servitje Montull	**pr**
Lorenzo Servitje Sendra	**pr**
Claudio Terrein Decottignies	**i**

alternate directors

Jaime Jorba Servitje	**pr**
Rosa María Mata de Quiroz	**pi**
María Isabel Mata Torrallardona	**pi**
María del Carmen Servitje de Mariscal	**pr**

examiner

Juan Mauricio Gras Gas

alternate examiner

Walter Fraschetto Valdés

secretary

Oscar Ramos Garza

alternate secretary

Carlos Ramos Miranda

better corporate practices code

pr: *Patrimonial, Related*
pi: *Patrimonial, Independent*
i: *Independent*
r: *Related*

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profile of board members

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Roberto Servitje Sendra *(72)*
Chairman of the Board of Grupo BIMBO
Member of the Boards of:
Daimler-Chrysler de México
Fomento Económico Mexicano
Grupo Financiero Bancomer

Henry Davis Signoret *(59)*
President of Promotora DAC and President of Concesionaria Renave
Member of the Board of:
Grupo Financiero Banamex-Accival

José Antonio Fernández Carbajal *(46)*
Vice President and CEO of Grupo Femsa
Member of the Boards of:
Coca Cola Femsa
Grupo Financiero Bancomer
ITESM
Grupo CYDSA

José Luis González González *(55)*
Chairman of the Board of Grupo Quan
Member of the Boards of:
Grupo Financiero BBV
Industria Automotriz
Inopac

Jaime Jorba Sendra *(82)*
CEO of Frialsa
Founding Member of Grupo BIMBO in which he held various positions during 18 years

Mauricio Jorba Servitje *(51)*
Vice Chairman of Grupo BIMBO

Francisco Laresgoiti Hernández *(57)*
General Manager of Compañía Expendedora de Vidrios y Cristales

José Ignacio Mariscal Torroella *(53)*
Executive President of Grupo Marhnos
Member of the Boards of:
COPARMEX
Member of USEM

Carlos Mata Alvarez *(47)*
President of Envases y Laminados
Member of the Boards of:
Aluminio y Zinc
Fundación Tepeyac
Grupo Invermat

Víctor Milke Auais *(66)*
CEO of Corporación Premium

Raúl Obregón del Corral *(56)*
Corporate Director of Técnica Administrativa BAL
Member of the Boards of:
Casa de Bolsa Valores Mexicanos
Crédito Afianzador
Grupo Nacional Provincial
Grupo Palacio de Hierro
Industrias Peñoles

Roberto Quiroz Montero *(35)*
Chairman of the Board and CEO of Grupo Industrial Trébol
Member of the Board of:
Fundación Tepeyac

Lorenzo Sendra Mata *(62)*
President of Organización Bimbo, Division of Grupo BIMBO
Member of USEM

Roberto Servitje Achútegui *(46)*
President of Organización Altex
Member of the Boards of:
Grupo Elektra
T.V. Azteca

Daniel Servitje Montull *(41)*
CEO of Grupo BIMBO
Member of the Boards of:
Coca Cola Femsa
Grupo Financiero Banamex-Accival
Universidad Iberoamericana

Lorenzo Servitje Sendra *(81)*
Founding Member of Grupo BIMBO in which he held various positions during 53 years
Member of Fundación Mexicana de Desarrollo Rural, of USEM and of the A Favor de lo Mejor Association

Claudio Terrein Decottignies *(64)*
President of Soger
Member of the Boards of:
Aseguradora Patria
Cementos Apasco
Danone de México
Generali México Cía. de Seguros
Invex Grupo Financiero
Korn / Ferry Internacional

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governance committees

(BETTER CORPORATE PRACTICES CODE)

audit committee

Claudio Terrein Decottignies	**president**
Francisco Laresgoiti Hernández	
Víctor Milke Auais	
Raúl Obregón del Corral	
Roberto Quiroz Montero	
Guillermo Sánchez Arrieta	**secretary**

evaluation and compensation committee

Roberto Servitje Sendra	**president**
Henry Davis Signoret	
Carlos Mata Alvarez	
Daniel Servitje Montull	
Lorenzo Servitje Sendra	
Javier Millán Dehesa	**secretary**

finance and planning committee

Raúl Obregón del Corral	**president**
José Luis González González	
Mauricio Jorba Servitje	
José Ignacio Mariscal Torroella	
Lorenzo Sendra Mata	
Daniel Servitje Montull	
Roberto Servitje Achútegui	
Claudio Terrein Decottignies	
Guillermo Quiroz Abed	**secretary**

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GRUPO BIMBO

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